

America's 500 largest corporations) even over a period as short as a half-century. Of the 2,000 companies that made the list at one time or another since it was first published in 1955, the vast majority are gone. Only 71 companies of the original 500 remain on the list today. Clearly, this turnover is what Joseph Schumpeter, the first economist to recognize entrepreneurship as the vital force that drives economic growth, called "the gale of creative destruction," in which established companies that are ill prepared for change are replaced by new companies inspired by new ideas and new technologies and driven by visionary entrepreneurs.

Yet there is no inherent reason why any firm with the commitment and boldness to build the kind of positive culture I have tried to describe here can't defy the ever-present danger of creative destruction. Jim Collins, the author of *Good to Great*, agrees: "When you've built an institution with values and a purpose beyond just making money—when you've built a culture that makes a distinctive contribution while delivering exceptional results—why would you surrender to the forces of mediocrity and succumb to irrelevance? And why would you give up on the idea that you can create something that not only lasts but also deserves to last? . . . No law of nature dictates that a great institution must inevitably fail, at least not within a human lifetime."

My hope, then, is not merely that Vanguard will endure, but that it will deserve to endure. Further, I hope that other firms that deserve to last will also fight the unremitting gale of creative destruction and endure. To do so, of course, the institutions that survive and prosper must have values and a purpose beyond just making money. They will also require both managers and leaders who suffuse vision and character into every element of the firm, men and women who bring not only their heads but their hearts to the challenge.

By avoiding the consequences of overmanaging, well-qualified managers, of whom we have a good supply (although even in this age of the MBA, never quite enough), must do things right, for only outstanding management can effectively implement the policies and practices that are required to build the superior firm. But only genuine leadership, of which we will never have nearly enough, can